

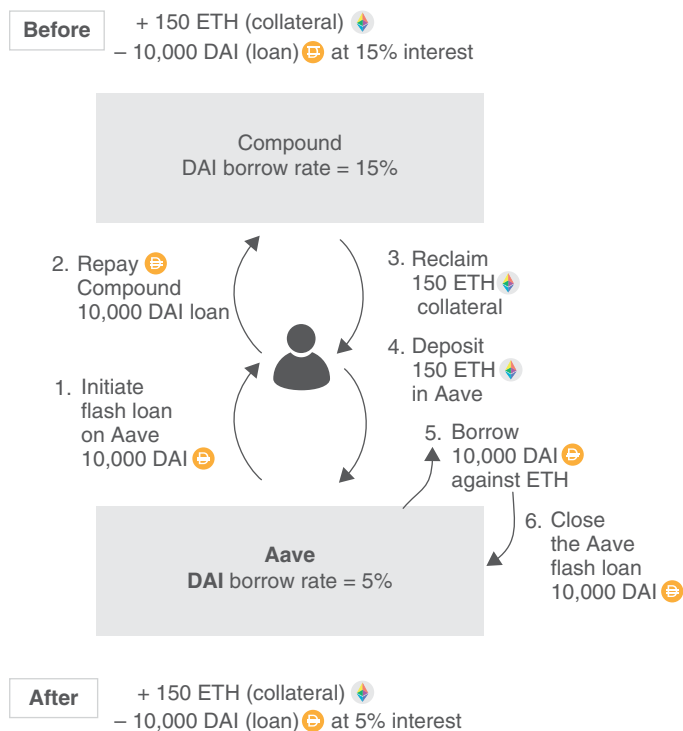


Figure 6.5 The Mechanics of an Aave Flash Loan

steps of exchanging ETH for DAI to unwind and rewind the leverage.

As shown in the preceding example, a flash loan used to refinance a position allows for DeFi client applications that let users migrate a levered position from one dApp to another with the single push of a button. These applications can even optimize portfolios for APR among several competing offerings, including Maker DSR (Dai Savings Rate), Compound, dYdX, and Aave.